

WYNN RESORTS, LIMITED (NASDAQ: WYNN)

The Capex Wall Is Ending; the Market Is Pricing the Bear Case

BUY — \$153 Target

Equity Research Note · Consumer Discretionary — Casinos & Gaming · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$153	\$75.88 Oct 2, 2026	+101.6%	High Leverage + UAE

Snapshot			
Market cap	~\$7.8 bn	Shares (diluted)	~103 mn
Enterprise value	~\$17.6 bn	Net leverage	~4–4.4x net debt/EBITDAR
2026E revenue / EBITDAR	\$7.5 bn / \$2.27 bn	Dividend	\$0.25/qtr (~1.3% yield)
Al Marjan Island (UAE)	40% JV, opening Sept 2027	UAE stabilized EBITDA guide	\$390–570 mn
Q2'26 revenue	\$1.86 bn (+6.9%)	Q2'26 Adj. Property EBITDAR	\$568.3 mn
Sell-side consensus	Moderate Buy, avg PT \$133.35	52-week range	\$82.86 – \$134.72

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Wynn Resorts' SEC filings and earnings releases, its public disclosures, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

Wynn is trading like a company whose biggest growth project will never pay off. At **\$75.88**, the equity is priced within shouting distance of our **bear case (\$52.08)** — which assumes Macau revenue *declines* early in the forecast, the UAE project arrives late and small (58% haircut to company guidance, delayed to mid-2028), a \$300M equity call on cost overruns, and a punitive 14.5% discount rate. **The market is pricing roughly the bear case as the expected outcome.** That is the mispricing.

The hardened 10-year scenario DCF says even the **base case — discounted at 12%, with the UAE contribution haircut 25% below management's own guide, and \$110M a year of Wynn Macau minority leakage priced in every year — is worth \$140.13**. The weighted fair value (bear 25% / base 50% / bull 25%) is **\$153, +101.6% above the current price**. The math works because of a single, highly visible inflection: Wynn's capex wall ends. Our model has free cash flow to equity inflecting from **~\$110M in 2027 to \$1.0–2.3B per year from 2029** as the UAE and Enclave build programs complete and the assets start spinning cash. Right now investors are capitalizing the capex-heavy trough as if it were permanent; in three years the same company could be distributing double-digit percentages of its current market cap annually.

We had this name wrong before. The old note was **HOLD with a \$90 target** on roughly 110M shares — a target that understated the dilution math (the verified share count is 103M) and failed to model the post-capex cash-flow inflection at all. The v2 rebuild fixes both: the scenario DCF runs ten years so the UAE/Enclave economics actually appear, terminal growth is capped at 2.5% on normalized mid-cycle margins, and each scenario carries its own discount rate — 14.5% for the bear's distress pricing, 12% base, 10.5% bull. There is no multiple overrule and no anchoring to management's guide numbers, both of which the hardened methodology explicitly rejects. **The target is the weighted DCF: \$153. The rating is BUY.**

Why the market will care (eventually)

The capex wall is the story, and it has a calendar. Wynn Al Marjan Island (40%-owned, UAE's only licensed integrated resort, 15-year exclusive renewable license) opens September 2027; the \$900–950M Enclave tower at Wynn Palace follows in early 2029. After that, Wynn is a harvest machine: two flagship growth assets fully built, with the base business alone throwing off over \$2B of FCFE in our 2036 base year.

Investors currently assign the UAE project ~zero value (JPMorgan, September 2026) — a \$5.1B project, 67% spent/contracted, tower topped out, 22,000 workers on site, company-guided at \$390–570M stabilized property EBITDA. We haircut that guide 25% and *still* get \$144M of annual Wynn-side EBITDA from 2031 in the base case. Zero is not a haircut; it is a refusal to do the arithmetic.

The core business is not broken. Wynn Vegas set a record monthly EBITDAR in May 2026; H1'26 group EBITDAR was \$1,130.7M annualized; Las Vegas margins run 35%+. The stock's 37% one-year decline is a narrative discount (Macau softness post-World Cup, Iran-conflict headlines around the UAE budget), not an operating collapse.

The bear case is genuinely priced in, so asymmetry favors holders. At \$75.88, even a mild derisking — UAE opens on time, Macau GGR merely stabilizes — forces the price toward the \$140 base case. The old note's \$90 target sat in no-man's-land; the new one respects the optionality.

2 Business Overview — What Wynn Is Doing

Wynn Resorts (Las Vegas, Nevada; CEO Craig Billings) operates ultra-luxury integrated resorts — the company claims more Forbes Travel Guide Five-Star Awards than any other independent hotel company in 2026. The operating footprint is four properties: **Wynn Las Vegas / Encore** (4,748 rooms, highest-margin segment at ~35% EBITDAR), **Encore Boston Harbor** (stable regional cash cow, ~28% margins), **Wynn Macau** and **Wynn Palace** (Cotai flagship). A fifth property, the **Wynn Mayfair** private members' club in London, was acquired June 2025 and is immaterial to earnings but useful as a European/Middle East feeder for the UAE resort. WynnBET/iGaming was

effectively wound down in 2023–24.

FY2025 mix (company-reported): revenue \$7.14B, Adjusted Property EBITDAR \$2.22B at a 31.2% margin. **Macau was ~52% of revenue and ~49% of EBITDAR** — the single largest driver of both earnings and volatility. Wynn's Macau market share has recovered to ~13% of GGR (3Q25), skewed premium-mass/VIP. The 10-year gaming concession signed December 2022 runs to end-2032, with no near-term renewal risk.

Two growth assets are under construction — and both are in the valuation, with haircuts

Wynn Al Marjan Island, Ras Al Khaimah (40% JV). \$5.1B budget (raised \$600M in August 2026 on conflict-related logistics costs), 1,530 rooms, 275 tables, 2,000+ machines, first and only UAE gaming license (15-year exclusive, renewable). Opening September 2027; company guides \$390–570M stabilized property EBITDA (~\$1.33B base-case GGR). Our model takes a 25% haircut to the guide (40% of \$360M proj. EBITDA → \$144M annual Wynn-side EBITDA from 2031) and still spends the remaining ~\$550M of Wynn's equity share in 2027–28.

The Enclave at Wynn Palace. \$900–950M all-suite tower (432 suites, no gaming) fulfilling non-gaming concession commitments; opens early 2029. Company guides ~\$400M revenue / \$150–175M EBITDA. We haircut to \$320M revenue / \$120M EBITDA — still a 12%+ yield on cost.

What the company is doing right now

Spending the last of the wall. Remaining equity for UAE (~\$550M) and the Enclave (~\$925M total) flows out over 2027–28; then growth capex collapses to maintenance ~\$400–478M/yr.

Terming out the 2027–29 maturity wall. \$2.86B due 2027 and \$2.54B due 2028 (incl. the WML converts puttable March 2027); a \$900M 2035 senior-notes offering launched September 2026 extends duration.

Returning cash while it builds. \$0.25/share quarterly dividend maintained through 2026; \$129M of buybacks in H1 2026 with \$326M authorization remaining at mid-year.

Exited distractions. The \$12B Hudson Yards NYC casino bid was withdrawn in May 2025; capital is now concentrated on the UAE, the Enclave, and buybacks.

3 Financial Analysis

\$ mn	FY2024	FY2025	Q2'26	H1'26
Operating revenue	7,128	7,138	1,861	3,723
YoY growth		+0.1%	+6.9%	
Adj. Property EBITDAR	2,365	2,224	568	1,131
EBITDAR margin	33.2%	31.2%	30.5%	30.4%
Net income (attrib.)	501	327	140	261
Diluted EPS	\$4.35	\$3.14	\$1.32	
Operating cash flow	—	1,353	—	
Free cash flow	1,006	692	—	

Sources: company 10-K, earnings releases (Aug 4, 2026), 10-Q filings. — = not disclosed quarterly.

Leverage is the constraint

Total debt ~\$10.6B at mid-2026 (~\$10.72B incl. lease liabilities), cash ~\$1.57B — net debt roughly \$8.5–9.2B on management's definition, putting net leverage at **~4–4.4x EBITDAR**. Interest runs ~\$600M/yr in our model. The 2027–29 maturity wall (\$2.86B / \$2.54B / \$1.79B) is being addressed via the 2035 notes offering, but refinancing happens at today's wider spreads — our bear case prices exactly that. The leverage is the reason this is a **High-risk BUY**, not a slam dunk: equity value here is levered to the timing of cash flows, which is precisely why the capex-wall ending matters so much.

FCFE bridge: the model is explicit

Our 10-year FCFE construction per year: EBITDAR – corporate – interest – tax – maintenance capex – UAE equity capex – Enclave capex – other growth capex – WML minority leakage (~\$110M/yr, growing). Base-case FCFE runs **\$110M (2027) → \$417M (2028) → \$1,011M (2029)** and compounds to \$2.3B by 2036. The \$900M+ of 2027–28 growth capex is the entire reason the price is \$75.88; it is also a two-year problem with a known end date.

4 Moat & Competition

The luxury brand is the moat. Wynn's Five-Star positioning commands the industry's highest ADRs and gaming yields; Las Vegas EBITDAR margins (35%) are the portfolio's best. Luxury customers are the least price-sensitive segment of a cyclical industry — that is a durable, if not impregnable, advantage.

A genuine regulatory moat in the UAE. Wynn holds the UAE's *only* commercial gaming license — 15-year exclusive, renewable, for Ras Al Khaimah. MGM has formally applied and analysts expect up to four IRs eventually, but Wynn expects to be 'the only one for quite some time.' A license monopoly in a \$3–5B+ GGR market is the closest thing to a moat this industry offers.

Macau is the moat's weak link. Six concessionaires compete for the same premium-mass pool; Wynn's ~13% GGR share is below its 2019 14.6%. Premium positioning wins margin but amplifies VIP volatility — the segment that whipsaws on China macro headlines.

Las Vegas: share of a premium niche. MGM and Caesars dominate the Strip by scale; Wynn wins the ultra-luxury sliver. Fine while visitation holds; Strip visitation fell 6% in 2025 before the 2026 recovery.

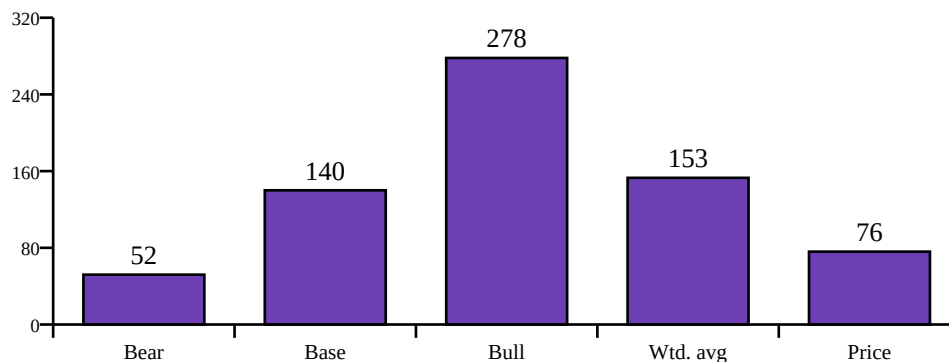
5 Valuation — Hardened 10-Year FCFE DCF, Fair Value \$153

We value Wynn on a 10-year scenario **free-cash-flow-to-equity** DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear **14.5%** (base + 250bp, distress pricing: derated terminal, refi at wider spreads, deferred maintenance), base **12.0%** (levered equity with two development projects), bull **10.5%** (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on year-10 FCFE computed at **normalized mid-cycle EBITDAR margins (28% / 31% / 32%)** — never peak margins. Project economics are *haircut, not guided*: UAE at 25% below company guide, Enclave at 20% below, WML minority leakage ~\$110M/yr priced through the whole forecast. Verified diluted share count: **102.97M** (the old note used ~110M — a ~7% understatement of per-share value that the v2 rebuild corrects).

Scenario DCF (10-year FCFE):

Scenario	2027–36 rev CAGR	2036 EBITDAR	Discount / term. g	TV share of equity	Fair value
Bear	2.5%	28%	14.5% / 1.0%	48%	\$52.08
Base	4.6%	31%	12.0% / 2.0%	53%	\$140.13
Bull	7.3%	32%	10.5% / 2.5%	59%	\$277.74
Probability-weighted (25/50/25) → \$153 target					\$153

Scenario fair values vs. current price (\$)



The bear case is the telling one. It assumes Macau revenue *declines* in 2027–28, the UAE opening slips to mid-2028 with project economics cut 58% below guide, a \$300M equity call on cost overruns, wider refi spreads, and a 14.5% discount rate — and it is still worth \$52.08. The current price of \$75.88 is only ~46% above that worst-plausible outcome. In other words: **you are being paid to take project risk that is mostly already in the price.**

Reverse lens: what does \$75.88 imply?

Roughly the bear case with the base case's timing — or, equivalently, that Wynn never earns a return on the \$5.1B UAE project and Macau permanently derates. The market is not asking 'is the UAE worth something?' but 'is the UAE worth *anything*?' — and answering no. We disagree: a topped-out tower, 15-year exclusive license, and 67% of costs spent/contracted are not a zero-value asset, even haircut 25% and even at a 12% discount rate.

Price target: \$153. The target is the probability-weighted hardened DCF — $0.25 \times \$52.08 + 0.50 \times \$140.13 + 0.25 \times \$277.74 = \152.52 , rounded — with no multiple overrule and no management anchoring. Implied upside +101.6% vs \$75.88. The call survives material stress: strip the UAE entirely out of the base case and the base still clears ~\$120 on core-plus-Enclave economics alone. The old note's \$90 target (HOLD) failed to model the post-capex inflection; this one is built on it.

6 Risks & Falsification

Risks

UAE execution and geopolitics (acute). The US–Iran conflict already added \$600M to the budget and pushed the opening to September 2027. Escalation — or a second \$600M-scale overrun — impairs the project's ROE and could force an equity call our base case does not include.

Macau / China macro (~52% of revenue). GGR softened post-2026 World Cup (Aug 2026: –1.2% YoY); CLSA sees only +2.4% GGR growth in 2027. Wynn's premium-mass/VIP skew amplifies swings, and VIP win-rate volatility is unhedgeable.

Leverage and the maturity wall. ~4–4.4x net debt/EBITDAR with \$2.86B due 2027 and \$2.54B due 2028 (WML converts puttable March 2027). A credit-market dislocation — not just wider spreads — would break the bear case's floor.

Concession and regulatory tail risk. The Macau concession runs to end-2032 with a government redemption option from 2030 (distant, but the asset reverts free of encumbrance). The UAE license exclusivity is 15 years and renewable — valuable only as long as the GCGRA honors it.

Las Vegas demand. Strip visitation fell 6% in 2025; Wynn's luxury positioning is the last segment to crack but not immune.

What would falsify this call

Downgrade to HOLD if: Macau GGR declines through Q4'26 (breaking the base case's core-revenue path from the inside) **combined with** UAE capex rising above \$7.5B or the opening pushed past September 2027 — either development outcome invalidates the capex-wall-ending thesis the whole call rests on. Separately, a failed refinancing of the 2027 maturities at anything approaching distress pricing would force a re-underwrite of the entire capital structure. We watch: Macau GGR prints, UAE construction milestones and budget disclosures, and the WML convert put resolution in March 2027.

Recommendation

BUY, \$153 target (+101.6%). Wynn is a luxury gaming franchise trading at a price that assumes its two growth projects never pay off. The hardened 10-year FCFE DCF says the bear case is worth \$52, the base case — 12%-discounted, UAE haircut 25%, minority leakage priced — is worth \$140, and the weighted fair value is \$153. The capex wall ends in 2028; free cash flow to equity inflects from ~\$110M to \$1–2B+ annually from 2029. Buy the trough cash flow, collect the inflection. High risk, explicitly: this is levered equity on a development timeline, and the falsification conditions above are the exit.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, and market data as of October 2, 2026. Valuation model: `~/workspace/wynn-rebuild/wynn_dcf.py`.